A FREE GUIDE FOR GTA BUYERS

The GTA First-Time Buyer's Guide

What your down payment really needs to cover, how Toronto's double land transfer tax works, and the mistakes that cost first-timers thousands.

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CHAPTER 1

Know your numbers before you browse

The biggest first-timer mistake is falling in love with a home before knowing what you can actually spend. Get these four numbers straight first.

How much down payment do you need?

- **5% rule:** Homes under $500,000: minimum 5% down.
- **The step-up:** Homes $500,000-$999,999: 5% on the first $500,000, then 10% on the rest.
- **The million-dollar line:** Homes $1,000,000+: minimum 20% down, no exceptions.
- **Under 20%:** Anything under 20% down requires mortgage default insurance (CMHC), added to your mortgage.

Three programs that stretch your down payment

- **FHSA (First Home Savings Account):** $8,000 per year, $40,000 lifetime. Contributions are tax-deductible going in and tax-free coming out for a qualifying first home - and unlike the HBP below, you never repay it. If you are even thinking of buying in the next few years, open one now.
- **Home Buyers' Plan:** Withdraw up to $60,000 from your RRSP tax-free for your down payment ($120,000 per couple). The catch: you repay it over 15 years, and the money must have sat in your RRSP for at least 90 days.
- **First-Time Home Buyers' Tax Credit:** A federal non-refundable credit worth up to $1,500 in tax relief the year you buy. Modest, but it covers your moving truck.

Rule of thumb: your down payment is only about 80% of the cash you need. The rest is

closing costs - keep reading.

CHAPTER 2

Toronto's double land transfer tax

This is the closing cost that blindsides GTA buyers more than any other. If you buy inside the City of Toronto, you pay land transfer tax twice.

Why double?

Ontario charges a provincial land transfer tax on every purchase, on a sliding scale. The City of Toronto charges its own municipal land transfer tax on top - using the same brackets (below $3M), so the bill is effectively doubled.

What first-time buyers get back

- **Ontario refund:** Up to $4,000 refunded on the provincial tax, usually applied right at closing by your lawyer.
- **Toronto rebate:** Up to $4,475 back on the Toronto portion, also at closing.
- **Stacked:** An eligible first-time buyer in Toronto can recover up to $8,475 combined.

A real example: a $700,000 Toronto home

Provincial tax: about $10,475. Toronto tax: about $10,475. Combined: $20,950 - due in cash on closing day, on top of your down payment. After both first-time buyer rebates: roughly $12,475. Outside Toronto, the same home would cost about $10,475 in tax, or $6,475 after the provincial rebate. Where you buy changes your cash needed by thousands.

> **Land transfer tax cannot be rolled into your mortgage. It is cash, on closing day. Budget for it early.**

CHAPTER 3

Closing costs beyond the down payment

Plan on roughly 1.5-2% of the purchase price on top of your down payment and land transfer tax:

- **Legal fees:** Typically $1,500-$2,500 in the GTA for a straightforward purchase.
- **Home inspection:** $400-$600. The best money you will spend in the whole process.
- **Status certificate:** Condo buyers: get this document reviewed. It reveals the building's finances, reserve fund and any special assessments coming.
- **Adjustments:** Prepaid property taxes, utilities and condo fees are split fairly between you and the seller on closing day.
- **The rest:** Moving, cleaning, immediate repairs - the unglamorous 1% everyone forgets.

Ask your lender for a full closing-cost worksheet before you waive any conditions. Surprises at this stage are expensive.

CHAPTER 4

Where to buy: a 60-second GTA tour

The GTA is not one market. Match the area to your budget and your commute - full guides at realtorbrando.ca.

- **Downtown Toronto:** Condos, walkability, career energy. Compare buildings as carefully as units - fees and amenities vary wildly.
- **North York:** A city within the city. Condos to detached streets, with subway access commuters love.
- **Scarborough:** Some of the GTA's most attainable detached homes on generous lots, plus the Bluffs.
- **Etobicoke:** Suburban calm minutes from downtown - bungalows, family streets and the Mimico waterfront.
- **Vaughan:** New-build territory around the Vaughan Metropolitan Centre. Research builder reputations.
- **Markham:** Top-rated schools and a competitive market where well-priced homes move fast.

CHAPTER 5

The buying process, step by step

1. Get pre-approved

Not pre-qualified - pre-approved. A lender verifies your income, credit and down payment and locks a rate, usually for 90-120 days. This tells you your real budget and makes your offers credible.

2. Hunt with a strategy

List your non-negotiables (bedrooms, commute, budget ceiling) before you tour. In a balanced market you can afford patience; in a hot pocket, be ready to move the week a good listing appears.

3. Make the offer

Price is one term among many: closing date, deposit size, conditions and included items all matter. Your agent's read on comparable recent sales is what keeps you from overpaying - or losing to someone who priced sharper.

4. Conditions protect you

Standard conditions: financing, home inspection, and (for condos) lawyer review of the status certificate. Each gives you a clean exit if something is wrong. Waiving them can win bidding wars - but only do it with eyes open.

5. Close

Your lawyer handles title search, funds and paperwork. You do a final walkthrough, hand over the bank draft, get the keys. Congratulations - you own a home.

CHAPTER 6

Five costly first-timer mistakes

- **1. House-hunting without a pre-approval:** Sellers take pre-approved buyers seriously. Without one, your offer may not even get a real look.
- **2. Forgetting closing costs:** On a $700,000 Toronto purchase, land transfer tax alone can exceed $20,000 before rebates. Know your total cash needed, not just your down payment.
- **3. Waiving the inspection:** It can win bidding wars, but only after you understand exactly what risk you are accepting. Never waive blindly.
- **4. Anchoring to the list price:** List price is a marketing decision, not a valuation. Comparable sold prices - not the asking price - tell you what a home is worth.
- **5. Emptying your savings to close:** Keep 3-6 months of expenses untouched. A new roof or a furnace does not care that you just bought the house.

READY WHEN YOU ARE

Let's find your first home.

Buying your first home in the GTA is a big move.
You don't have to figure it out alone.

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General information only - not financial, tax or legal advice. Figures current as of October 2026; programs and amounts change, so confirm with your lender and lawyer before acting.